08 Nov 2026 21:34:04 ET | 13 pages

Advanced Energy Solution (6781.TW)

Growth Intact Despite A Longer HVDC Transition

CITI'S TAKE

We walked away from AES's 3Q briefing more confident in the BBU growth outlook. Resilient low-voltage demand and higher-power product upgrades should sustain growth through the HVDC transition, with 400V/800V commercialization targeted for mid/end-2027E respectively. Rising technical complexity should favor AES's engineering expertise and established customer relationships. We trim our TP to NT$1,550 (from NT$1,680) on 25x 2027E P/E from 27x reflecting HVDC timing uncertainty. Reiterate Buy as rising BBU penetration and content per rack underpin structural growth.

3Q26: strong BBU demand drives growth and mix upgrades lift GPM y/y — 3Q sales of NT$5.2bn rose 27% y/y and 9% q/q, driven by strong BBU demand and were 9% above our forecast. GPM expanded 1.3ppt y/y to 36.3% on mix upgrades, though it fell 2.8ppt q/q. Op profits rose 34% y/y with OPM up 1.4ppt y/y to 24.6%. Net profit of NT$1.1bn was up 34% y/y, 3% above our forecast but 5% below consensus. Higher opex and lower non-op income partly offset the sales beat.

Low voltage BBUs retain a substantial growth runway — Mgmt expects steady 4Q growth and remains positive on 2027E, with no downward revisions to customer demand plans. Continued datacenter buildout should sustain low-voltage BBU procurement while HVDC architectures undergo qualifications. Demand for 3kW products remains broad across conventional servers and lower power datacenter workloads. AES is working with several new CSPs and overseas SIs, with new customer contributions expected in 2027E. Rising GPU power, greater BBU penetration and higher content per MW should support volumes and mix-led ASP growth. Cell prices are rising, but AES indicates stable procurement through long-standing relationships with suppliers and will seek to pass on cost increases.

HVDC progress: commercialization likely in 2H27E — High voltage BBU commercialization has been delayed to 2H27E, reflecting product development and system integration challenges. Currently samples have been delivered and large-scale testing is underway for 400V products, with mass production targeted for mid-2027E and 800V products are scheduled for end-2027E. Mgmt. sees high voltage BBU ASP to be 5-10x higher than low voltage products. We believe increasing system complexity and qualification requirements favor AES's established engineering capabilities and CSP relationships, though shipment timing and margin contribution require monitoring.

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	2,169	25.39	10.2	27.8	4.1	15.7	1.8
2025A	3,263	38.20	50.4	18.5	3.6	20.7	2.7
2026E	4,195	49.11	28.6	14.4	2.8	22.0	3.4
2027E	5,288	61.91	26.1	11.4	2.5	23.1	4.3
2028E	6,677	78.16	26.2	9.0	2.1	25.1	5.5

Source: Powered by dataCentral

Buy

Price (06 Nov 26 13:30)	NT$705.00
Target price	NT$1,550.00↓
from NT$1,680.00	
Expected share price return	119.9%
Expected dividend yield	3.3%
Expected total return	123.1%
Market Cap	NT$60,220M
	US$1,837M

Price Performance
(RIC: 6781.TW, BB: 6781 TT)



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6781.TW: Fiscal year end 31-Dec						Price: NT$706.00; TP: NT$1,550.00; Market Cap: NT$80,220m; Recomm: Buy					
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	10,037	16,001	19,906	24,658	31,169	PE (x)	27.8	18.5	14.4	11.4	9.0
Cost of sales	-6,081	-10,255	-12,563	-15,426	-19,474	PB (x)	4.1	3.6	2.8	2.5	2.1
Gross profit	3,956	5,746	7,343	9,232	11,694	EV/EBITDA (x)	19.4	11.9	8.6	6.4	5.0
Gross Margin (%)	39.4	35.9	36.9	37.4	37.5	FCF yield (%)	3.4	3.4	9.1	4.7	8.4
EBITDA (Adj)	**2,712**	**4,276**	**5,506**	**6,805**	**8,496**	Dividend yield (%)	1.8	2.7	3.4	4.3	5.5
EBITDA Margin (Adj) (%)	27.0	26.7	27.7	27.6	27.3	Payout ratio (%)	49	49	49	49	49
Depreciation	-333	-399	-522	-531	-531	ROE (%)	15.7	20.7	22.0	23.1	25.1
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**2,379**	**3,877**	**4,984**	**6,273**	**7,965**	EBITDA	2,712	4,276	5,506	6,805	8,496
EBIT Margin (Adj) (%)	23.7	24.2	25.0	25.4	25.6	Working capital	-35	-1,016	1,339	-2,458	-1,580
Net interest	246	254	339	322	362	Other	-189	-581	-789	-985	-1,288
Associates	0	0	0	0	0	**Operating cashflow**	**2,488**	**2,678**	**6,056**	**3,362**	**5,628**
Non-Op/Except/Other Adj	128	8	-7	99	125	Capex	-414	-632	-578	-550	-550
Pre-tax profit	**2,754**	**4,139**	**5,316**	**6,694**	**8,451**	Net acq/disposals	2,528	196	947	0	0
Tax	-585	-876	-1,121	-1,406	-1,775	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	0	0	0	0	0	**Investing cashflow**	**2,114**	**-437**	**369**	**-550**	**-550**
Reported net profit	**2,169**	**3,263**	**4,195**	**5,288**	**6,677**	Dividends paid	-991	-1,068	-1,606	-2,065	-2,604
Net Margin (%)	21.6	20.4	21.1	21.4	21.4	**Financing cashflow**	**-2,504**	**-739**	**-114**	**-2,045**	**-2,582**
Core NPAT	2,169	3,263	4,195	5,288	6,677	**Net change in cash**	**2,097**	**1,416**	**6,311**	**767**	**2,496**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**2,074**	**2,046**	**5,478**	**2,812**	**5,078**
Reported EPS ($)	25.39	38.20	49.11	61.91	78.16						
Core EPS ($)	25.39	38.20	49.11	61.91	78.16						
DPS ($)	12.50	18.81	24.18	30.48	38.48						
CFPS ($)	29.13	31.35	70.90	39.36	65.89						
FCFPS ($)	24.28	23.95	64.14	32.92	59.45						
BVPS ($)	172.28	196.68	249.46	287.19	334.87						
Wtd avg ord shares (m)	85.4	85.4	85.4	85.4	85.4						
Wtd avg diluted shares (m)	85.4	85.4	85.4	85.4	85.4						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	0.1	59.4	24.4	23.9	26.4						
EBIT (Adj) (%)	8.6	62.9	28.6	25.9	27.0						
Core NPAT (%)	10.2	50.4	28.6	26.1	26.2						
Core EPS (%)	10.2	50.4	28.6	26.1	26.2						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	7,410	8,833	15,144	15,910	18,406						
Accounts receivables	1,800	1,971	3,156	4,429	5,579						
Inventory	7,504	8,975	8,959	12,659	15,907						
Net fixed & other tangibles	1,782	2,085	2,141	2,159	2,178						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	2,083	2,907	1,388	1,450	1,528						
Total assets	**20,579**	**24,772**	**30,788**	**36,608**	**43,598**						
Accounts payable	2,174	2,663	2,078	2,939	3,693						
Short-term debt	449	790	249	269	291						
Long-term debt	0	0	0	0	0						
Provisions & other liab	3,238	4,518	7,151	8,868	11,010						
Total liabilities	**5,862**	**7,971**	**9,478**	**12,076**	**14,993**						
Shareholders' equity	14,716	16,800	21,308	24,531	28,604						
Minority interests	1	1	1	1	1						
Total equity	**14,717**	**16,801**	**21,309**	**24,532**	**28,605**						
Net debt (Adj)	**-6,960**	**-8,043**	**-14,895**	**-15,641**	**-18,116**						
Net debt to equity (Adj) (%)	-47.3	-47.9	-69.9	-63.8	-63.3						

For definitions of the items in this table, please click here.

Non-BBU development: new applications broaden the growth base — Mgmt expects non-BBU growth to outpace BBU growth in 2027E as new projects scale. LEV demand should gradually recover following the inventory correction. Telecom application has entered mass production in 2026, with mgmt. expecting the business to double in 2027E. AGV, AMR, forklift and robotics projects involve leading international customers, with AGV/AMR products expected to enter mass production in 2H27E. These projects should diversify revenue and extend AES's battery pack expertise into additional markets.

Earnings revisions and TP change —We lift our earnings forecasts by 6% for 2026E mainly to reflect stronger sales strength and GPM in 2026E while we keep our 2027/2028E earnings estimates largely unchanged. We slightly lower our TP to NT$1,550 based on 25x 2027E P/E vs. 27x prior reflecting HVDC timing uncertainty.

Figure 1. AES: 3Q26 Results Comp

Consolidated financials	3Q26			2Q26	QoQ	3Q25	YoY	3Q26	
(NT$ mn)	Actual	Citi est.	Diff (%)	Actual	(%)	Actual	(%)	Consensus	Diff (%)
Revenue	5,234	4,824	9%	4,808	9%	4,129	27%	5,406	-3%
Gross profits	1,899	1,752	8%	1,878	1%	1,443	32%	1,965	-3%
Operating profits	1,285	1,204	7%	1,311	-2%	958	34%	1,361	-6%
Pretax earnings	1,351	1,310	3%	1,386	-2%	1,014	33%	1,433	-6%
Net income	1,068	1,035	3%	1,094	-2%	798	34%	1,129	-5%
EPS (NT$)	12.50	12.12	3%	12.81	-2%	9.35	34%	13.22	-5%
Magins (%)									
Gross margin	36.3%	36.3%	0.0%	39.1%	-2.8%	34.9%	1.3%	36.4%	-0.1%
Operaing margin	24.6%	25.0%	-0.4%	27.3%	-2.7%	23.2%	1.4%	25.2%	-0.6%
Net margin	20.4%	21.5%	-1.1%	22.8%	-2.4%	19.3%	1.1%	20.9%	-0.5%

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Source: Bloomberg, Company Reports, Citi Research, Citi Research Estimates

Figure 2. AES: Our Earnings Estimates Revisions

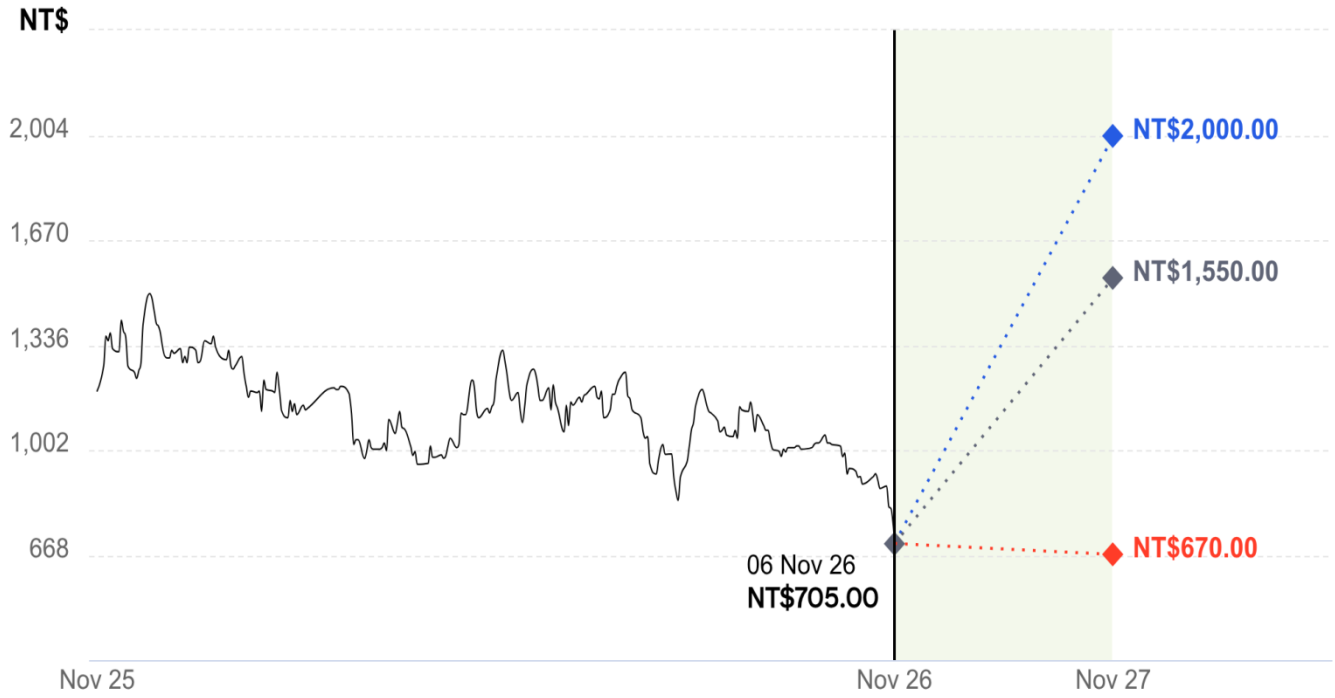
	FY26E			FY27E			FY28E		
NT$mn	New	Old	Chg	New	Old	Chg	New	Old	Chg
Net Sales	19,906	18,913	5%	24,658	24,221	2%	31,169	30,325	3%
Gross profit	7,343	6,874	7%	9,232	8,934	3%	11,694	11,355	3%
OPEX	2,359	2,238	5%	2,958	2,692	10%	3,729	3,362	11%
Operating profit	4,984	4,635	8%	6,273	6,242	0%	7,965	7,993	0%
Pre-tax profit	5,316	5,017	6%	6,694	6,633	1%	8,451	8,444	0%
Net profit	4,195	3,959	6%	5,288	5,240	1%	6,677	6,671	0%
EPS	49.11	46.35	6%	61.91	61.35	1%	78.16	78.09	0%
Ratio	**New**	**Old**	**diff**	**New**	**Old**	**diff**	**New**	**Old**	**diff**
Gross margin (%)	36.89	36.34	0.5	37.44	36.89	0.6	37.52	37.44	0.1
OPEX to Sales ratio(%)	11.85	11.84	0.0	12.00	11.11	0.9	11.96	11.09	0.9
Operating margin (%)	25.04	24.51	0.5	25.44	25.77	(0.3)	25.55	26.36	(0.8)
Net margin (%)	21.07	20.93	0.1	21.45	21.64	(0.2)	21.42	22.00	(0.6)

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Source: Citi Research, Citi Research Estimates

Bull/Bear: Advanced Energy Solution (6781.TW)

NT$2,000.00	NT$1,550.00	NT$670.00
▲184% Upside	▲120% Upside	▼5.0% Downside



Spread 189pp
Current Price and expected returns (upside/downside) as of 06 Nov 2026

BULL Assumptions

- Target PE at 38x

BASE Assumptions

- Sales CAGR 24% and earnings CAGR 27% in 2025-2028E.
- Target PE at 25x

BEAR Assumptions

- Target PE at 17x

Advanced Energy Solution

Company description

Established in January 2020 and listed in March 2021, Advanced Energy Solution Holdings (AES) is a holding company registered in Cayman Island, supplying battery packs for LEV (light electrical vehicle such as e-Bikes) and BBU (battery back-up unit for datacenters) applications. Prior to the establishment and IPO, AES was a BU focusing on non-IT applications within its parent company, Simplo Technology (6121.TW).

Investment strategy

We rate AES shares as Buy. Being an industry leader in battery pack design and manufacturing with a proven track record, we expect AES to benefit from higher BBU content per rack and deep CSP engagement as the industry transitions from conventional 48V systems to HVDC architecture. BBU now contributes >70% of sales and should remain the key earnings driver as AI rack power continues to rise. We forecast earnings CAGR of 27% in 2025-2028E, supported by strong BBU demand, mix upgrade toward high-power BBU products and op leverage.

Valuation

Our target price of NT$1,550 is based on 25x 2027E EPS on par with its historical average since listing and supported by a 2025-28E earnings CAGR of 27%. We use 2027E as the year of valuation base as we think 2027E can better reflect its earnings power after the commercializarion of HVDC products.

Risks

Key downside risks to our earnings forecasts that could prevent the shares from reaching our target price include: 1) slower-than-expected end demand from e-Bikes post the pandemic and volaitlity in cloud capex deployment that could impact datacenter BBU sales; 2) component supply constraints/logistics challenges, which could lead to slower-than-expected shipment and top-line momentum; and 3) peer competition, which could impact sales growth and margins negatively, in our view.

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Appendix A-1

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IMPORTANT DISCLOSURES

Advanced Energy Solution (6781.TW)
Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu



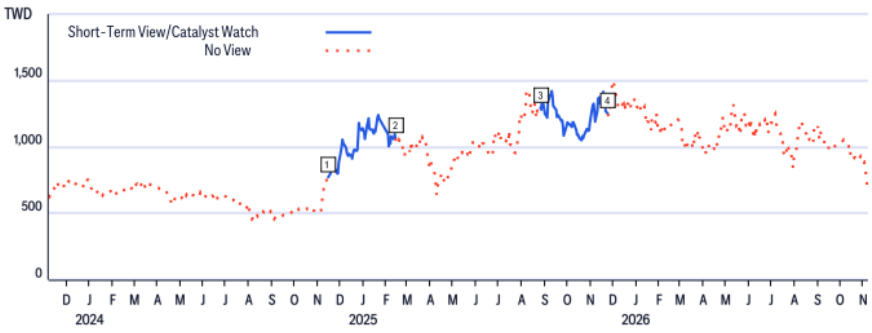
	Date	Rating	Target Price	Closing Price
1	12-Jan-24 03:58:35	1	*805.00	641.00
2	11-Mar-24 07:08:28	1	*870.00	731.00
3	07-May-24 05:19:12	1	*820.00	630.00
4	30-Aug-24 05:12:48	1	*670.00	515.00
5	15-Nov-24 07:46:33	1	*1,020.00	772.00
6	11-Feb-25 04:53:18	1	*1,220.00	1,065.00
7	10-Jun-25 00:11:45	1	*1,330.00	1,025.00
8	26-Aug-25 23:59:20	1	*1,660.00	1,295.00
9	07-Jul-26 04:00:10	1	*1,680.00	1,175.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Advanced Energy Solution (6781.TW)
Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	15-Nov-24 02:46:33	Add STV	Upside	90 Days	772.00
2	13-Feb-25 19:44:16	Remove STV	Upside	90 Days	1,065.00
3	26-Aug-25 19:59:20	Add STV	Upside	90 Days	1,295.00
4	24-Nov-25 19:44:47	Remove STV	Upside	90 Days	1,250.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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